

# Hero MotoCorp Ltd

Consumer Discretionary | Two Wheelers | Large Cap | <http://www.heromotocorp.com/>

## Company Overview

Hero Moto Corp earlier also known as \"Hero Honda\" is one of India's first motorcycle manufacturers. The company started in 1984 as a Technological collaboration with Honda, Japan. Before this collaboration, Hero was selling Cycles under the brand name, Hero Cycles.

## Financial Snapshot

|                |               |                  |         |                   |       |
|----------------|---------------|------------------|---------|-------------------|-------|
| Market Cap     | ■1,593,401 Cr | ROE              | 22.0%   | Revenue CAGR      | 2.2%  |
| P/E            | 53.86         | ROCE             | 29.1%   | PAT CAGR          | 1.5%  |
| P/B            | 12.60         | Net Margin       | 9.9%    | EPS CAGR          | 1.7%  |
| EV/EBITDA      | 28.27         | Operating Margin | 86.1%   | Quality Score     | 70.00 |
| Dividend Yield | 1.9%          | Debt / Equity    | 0.03    | Interest Coverage | 47.27 |
| Asset Turnover | 1.44          | EPS              | ■187.00 | Book Value        | N/A   |

## Investment Strengths

- High ROE indicates efficient capital utilization.
- Excellent ROCE demonstrates efficient business operations.
- High operating margin reflects operational efficiency.
- Low debt improves financial stability.
- Comfortable interest coverage reduces financial risk.
- Positive free cash flow strengthens future growth.
- Healthy dividend yield rewards shareholders.

## Investment Risks

- Revenue growth has been weak.
- Profit growth has remained weak.
- EPS growth has been limited.

## Cash Flow Intelligence

### Healthy Cash Flow

Strong operating cash flow while investing for growth and reducing financing obligations.

### Cash Rich

Positive operating and overall cash flow indicate healthy liquidity.